

Document Control	
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1. Title

Policy on Prevention of Money Laundering Activities ("Policy")

2. Objective

This Policy aims to:

1. Establish AML and KYC standards for compliance by the Investment Manager in respect of its financial dealings and other activities on behalf of the Fund.
2. Provide sufficient safeguards to protect the Fund from being used, intentionally or unintentionally, as a channel for money laundering or terrorist financing activities and to protect the Fund's reputation by ensuring compliance with all the relevant legal and regulatory guidelines.
3. Provide guidance to all employees of the Investment Manager on the AML and KYC procedures that should be followed for due diligence of investors and investee entities, vendors and suppliers, and employees being hired, along with monitoring and reporting obligations as per the laws and regulations in force.
4. Ensure co-operation with the relevant law enforcement authorities.
5. Take appropriate action, once suspicious activities are detected report them to the designated authorities in accordance with applicable laws laid down procedures.

3. Regulatory Background

- 3.1 The Prevention of Money Laundering Act, 2002 (PMLA 2002 or the Act)
- 3.2 Prevention of Money-Laundering (Maintenance of Records) Rules, 2005 (PML Rules)
- 3.3 SEBI Master Circular No. SEBI/HO/MIRSD/MIRSDSECFATF/P/CIR/2024/78 dated June 06, 2024 for Guidelines on Anti-Money Laundering

A. **Financial Action Task Force (FATF)**

The Financial Action Task Force (FATF) is an inter-governmental body established to set standards and promote effective implementation of legal, regulatory and operational measures for combating money laundering, terrorist financing and other related threats to the integrity of the international financial system.

To achieve global implementation of the FATF recommendations, the FATF relies on a strong global network of FATF-Style Regional Bodies, in addition to its own members, representing most major financial centers in all parts of the globe. India is a full member of the FATF since June 2010.

B. Financial Intelligence Unit – India (FIU-IND):

The Government of India set up Financial Intelligence Unit – India (FIU-IND) on November 18, 2004 as an independent body to report directly to the Economic Intelligence Council (EIC) headed by the Finance Minister. FIU-IND has been established as the central national agency responsible for receiving, processing, analyzing and disseminating information relating to suspect financial transactions. It is also responsible for coordinating and strengthening efforts of national and international intelligence and enforcement agencies in pursuing the global efforts against money laundering and related crimes. Director, FIU-IND and Director (Enforcement) have been conferred with exclusive and concurrent powers under relevant Sections of the Act to implement the provisions of the Act.

C. Anti-Money laundering in Indian context

The Prevention of Money Laundering Act, 2002 (PMLA 2002 or the Act) together with the Prevention of Money Laundering Rules, 2005 (Rules) and various circulars / Master Circular dated February 03, 2023 issued by Securities & Exchange Board of India (SEBI) forms the core of the legal framework put in place by India to combat money laundering. The PMLA 2002 and Rules and Circulars notified thereunder impose an obligation on banking companies, financial institutions and intermediaries to verify identity of clients, maintain records and furnish information to FIU-IND. The PMLA provides that violating the prohibitions on manipulative and deceptive devices, insider trading and substantial acquisition of securities or control as prescribed in Section 12 A read with Section 24 of the Securities and Exchange Board of India Act, 1992 (SEBI Act) will now be treated as a scheduled offence under schedule B of the PMLA.

This policy document is based on the Guidelines and circulars issued by SEBI from time to time and policy framework recommended has been amended to suit specific requirements of the entity within the regulatory framework.

Various regulators like SEBI, RBI, IRDAI, etc. have also issued Anti Money Laundering (AML) guidelines and circulars, for prevention of money laundering through entities governed by these regulators.

4. Applicability

This Policy is applicable to Invicto Trust (AIF) (herein after known as “ Fund”) which is registered with SEBI, all the investors and the investee entities of the Fund, any person on whose behalf an investment is made in the Fund, any beneficial owner of an investment any person who has any investment advisory relationship with the Investment Manager, employees and vendors providing services to the Fund and the Investment Manager, any person or entity connected with a financial transaction which can pose significant reputational risk to the Investment Manager or the Fund or any person with whom the cash transaction exceeds IN 10,00,000.

The Policy shall also be applicable to the Investment Manager, its designated Directors (**Board**), employees and outsourced entities supporting it in its operations.

5. Definitions:

- (a) **“Beneficial owner”** means is the natural person or persons who ultimately own, control or influence a client and/or persons on whose behalf a transaction is being conducted. It also incorporates those persons who exercise ultimate effective control over a legal person or arrangement
- (b) **“Clients of Special Category” (CSC)**
CSC shall include the following:
- I. Non - resident clients;
 - II. High net-worth clients;
 - III. Trust, Charities, Non-Governmental Organizations (NGOs) and organizations receiving donations;
 - IV. Companies having close family shareholdings or beneficial ownership;
 - V. Politically Exposed Persons (PEP).
 - VI. Clients in high risk countries. While dealing with clients from or situate in high risk countries or geographic areas or when providing delivery of services to clients through high risk countries or geographic areas i.e. places where existence or effectiveness of action against money laundering or terror financing is suspect, registered intermediaries apart from being guided by the FATF statements that inter alia identify such countries or geographic areas that do not or insufficiently apply the FATF Recommendations, published by the FATF on its website (www.fatf-gafi.org) from time to time, shall also independently access and consider other publicly available information along with any other information which they may have access to.
 - VII. Non face to face clients: Non face to face clients means clients who open accounts without visiting the branch/offices of the Investment Manager or meeting the officials of the Investment Manager. Video based customer identification process is treated as face-to-face onboarding of clients;
 - VIII. Clients with dubious reputation as per public information available etc.;
- (c) **“Designated Director”** means a person designated by the reporting entity and authorized by the Managing Director or a Whole-Time Director duly authorized by the Board of Directors to ensure overall compliance with the obligations imposed under chapter IV of the Act and the Rules.
- (d) **“Group”** as defined in in clause (e) sub-section (9) of section 286 of the Income-tax Act, 1961 which is as under:
- "Group" includes a parent entity and all the entities in respect of which, for the reason of ownership or control, a consolidated financial statement for financial reporting purposes, -
- (i) is required to be prepared under any law for the time being in force or the accounting standards of the country or territory of which the parent entity is resident; or
 - (ii) would have been required to be prepared had the equity shares of any of the enterprises were listed on a stock exchange in the country or territory of which the parent entity is reside
- (e) **“Non-profit organization”** means any entity or organisation, constituted for religious or charitable purposes referred to in clause (15) of section 2 of the Income-tax Act, 1961 (43 of 1961), that is registered as a trust or a society under the Societies Registration Act, 1860 (21 of 1860) or any

similar State legislation or a Company registered under the section 8 of the Companies Act, 2013 (18 of 2013);

As per Section 2(15) of the Income Tax Act, 1961, the term “charitable purpose” includes relief of the poor, education, yoga, medical relief, preservation of environment (including watersheds, forests and wildlife) and preservation of monuments or places or objects of artistic or historic interest, and the advancement of any other object of general public utility

(f) **“Politically Exposed Person” (PEP)** means –

- a. Foreign PEPs: Individuals who are or have been entrusted with prominent public functions by a foreign country, for example heads of State or of government, senior politicians, senior government or judicial or military officials, senior executives of state-owned corporations, important political party officials
- b. Domestic PEPs: Individuals who are or have been entrusted domestically with prominent public functions, for example heads of State or of government, senior politicians, senior government or judicial or military officials, senior executives of state-owned corporations, important political party officials
- c. International organization PEPs: Persons who are or have been entrusted with a prominent function by an international organization, refers to members of senior management or individuals who have been entrusted with equivalent functions, i.e., directors, deputy directors and members of the board or equivalent functions.
- d. Family members of PEP who are related to PEP either directly or through marriage or similar forms of Directorship.
- e. Close associates are individuals who are closely connected to a PEP, either socially or professionally.

(g) **“Principal Officer”** means an officer designated by a reporting entity.
Provided that such officer shall be an officer at the management level.

(h) **“Reporting Entity”** means a banking company, financial institution, intermediary or a person carrying on a designated business or profession.

(i) **“Suspicious transaction”** means a transaction, whether or not made in cash which, to a person acting in good faith-

- (a) Gives rise to a reasonable ground of suspicion that it may involve proceeds of an offence specified in the Schedule to the Act, regardless of the value involved; or
- (b) Appears to be made in circumstances of unusual or unjustified complexity; or
- (c) Appears to have no economic rationale or bona-fide purpose; or
- (d) Gives rise to a reasonable ground of suspicion that it may involve financing of the activities relating to terrorism;

Explanation—Transaction involving financing of the activities relating to terrorism includes transaction involving funds suspected to be linked or related to, or to be used for terrorism, terrorist acts or by a terrorist, terrorist organization or those who finance or are attempting to finance terrorism.

6. Implementation / Process

The Investment Manager intends to follow and adhere to standards of PMLA and stands committed to:

- Acceptance of transactions from investors by identifying the beneficial ownership and control, i.e. determine which individual(s) ultimately own(s) or control(s) the customer and /or person on whose behalf a transaction is being conducted, corroborating the information provided in relation to beneficial owner and whose identity is established with the help of appropriate verification by using reliable, independent source documents, data or information, in line with Client Acceptance Standards prescribed by SEBI and other Govt. regulatory bodies.
- Record and preserve audit trail for the transactions conducted by customers to facilitate investigation.
- Conduct on-going due diligence and scrutiny i.e., perform on-going scrutiny of the transactions and account throughout the course of the business relationship to ensure that the transactions being conducted are consistent with the Fund's knowledge of the customer, its business and risk profile, taking into account, where necessary, the customer's source of funds.
- Report to Financial Intelligence Unit – India, or any other agency designated by Securities and Exchange Board of India (SEBI) or Government of India, the details of transactions of all or selected clients, if and when requested or at such frequency as may be suggested by such agencies, and
- Co-operate with investigative agencies / law enforcement agencies in their efforts to trace the money laundering transactions and persons involved in such transactions.
- In case there is a variance in Client Due Diligence (CDD)/ Anti Money Laundering (AML) standards specified by SEBI and the regulators of the host country, branches/overseas subsidiaries of the Alternative Investment Fund are required to adopt the more stringent requirements of the two.

If the host country does not permit the proper implementation of AML/CFT measures consistent with the home country requirements, Group shall be required to apply appropriate additional measures to manage the ML/TF risks, and inform SEBI.

Approach:

The approach towards AML Standards is based on risk perception and money laundering threats with an aim to identify the types of customers that are likely to pose a higher than the average risk of money laundering or terrorist financing. The Fund's standards and measures involve a customer acceptance and identification exercise that involves enhanced due diligence for higher risk accounts and includes account monitoring for suspicious activities in line with Uniform Standards, as specified by SEBI from time to time. These standards constitute an essential part of risk management by providing the basis for identifying and controlling risk exposures, which Investment Manager takes to protect itself and its genuine customers from the risks arising out of suspicious transactions/risky customers.

The Fund's Standards center on the following key elements:

- I. Customer Acceptance Policy and Identification Procedures
- II. Risk Management
- III. Enhance Due Diligence (EDD)
- IV. On-going Monitoring Processes and Reporting

Other AML Measures

- V. Reporting Procedures
- VI. Record Maintenance
- VII. Procedure for freezing of funds, financial assets or economic resources or related services
- VIII. Staff Hiring Policies and Training Programs and
- IX. Investor Education

I. Customer acceptance policy and identification procedure:

- **Know your Client (KYC)**

SEBI has prescribed the minimum requirements relating to KYC for certain classes of registered intermediaries from time to time. It is mandatory for every client who invests to be KYC – KRA / CKYC compliant. For the same Investment Manager needs to follow guidelines as prescribed under SEBI Master Circular on Know Your Clients (KYC) norms for securities market, SEBI/HO/MIRSD/SECFATF/P/CIR/2023/169 dated October 12, 2023 and any amendments thereto. The Investment Manager has incorporated the same in there KYC document checklist and the same is followed while onboarding the client.

The Manager will ensure that an account is not opened where the intermediary is unable to apply appropriate CDD measures. This shall apply in cases where it is not possible to ascertain the identity of the client, or the information provided to the intermediary is suspected to be non - genuine, or there is perceived non - co-operation of the client in providing full and complete information. The Investment Manager shall not continue to do business with such a person and file a suspicious activity report.

- **Identification of Beneficial Ownership**

The Investment Manager will obtain sufficient information in order to identify persons who beneficially own or control the securities account. Whenever it is apparent that the securities acquired or maintained through an account are beneficially owned by a party other than the client, that party shall be identified using client identification and verification procedures.

Beneficial Owner will be identified as under:

(i)**For client which is a company:** where the client is a company, the beneficial owner is the natural person(s), who, whether acting alone or together, or through one or more juridical person, has a controlling ownership interest or who exercises control through other means.

Explanation:- For the purpose of this sub-clause:-

a. "Controlling ownership interest" means ownership of or entitlement to more than ten per cent of shares or capital or profits of the company;

b. "Control" shall include the right to appoint a majority of the directors or to control the management or policy decisions including by virtue of their shareholding or management rights or shareholders agreements or voting agreements.

ii. **For client which is a Directorship firm:** Where the client is a Directorship firm, the beneficial owner is the natural person(s) who, whether acting alone or together, or through one or more juridical person, has ownership of/ entitlement to more than ten percent of capital or profits of the Directorship or who exercises control through other means.

Explanation: - For the purpose of this clause: -

"Control" shall include the right to control the management or policy decision.

iii. **Applicability for foreign portfolio investors:** Intermediaries dealing with foreign portfolio investors' may be guided by the SEBI Master Circular SEBI/HO/AFD-2/CIR/P/2022/175 dated December 19, 2022 or any amendment thereto for the purpose of identification of beneficial ownership.

iv. The Investment Manager shall monitor the compliance of the aforementioned provision on identification of beneficial ownership by their Board of Directors.

- **Initial Steps-Validation of accounts with various Watchlists:**

Necessary initial checks shall be carried out before opening a new account so as to ensure that the identity of the client/Beneficial Owner of client does not match with any person with known criminal background or with banned in any other manner, whether in terms of criminal or civil proceedings by any enforcement agency worldwide.

The Investment Manager shall validate the new account opening application with various watch lists including but not limited to the RBI watch list/other available checklists to ascertain the creditworthiness of the Client and to check whether the name of the client appears on the UNSCR list, MHA list or FATF list or client is PEP, list of Designated Individuals/ Entities (as given in this Policy).

For this Investment Manager may use tools like world-check login or any other which help him to comply with regulatory requirement.

- **Reliance on third party for carrying out Client Due Diligence (CDD)**

Investment Manager may rely on a third party for the purpose of -

- i. Identification and verification of the identity of a client and
- ii. Determination of whether the client is acting on behalf of a beneficial owner, identification of the beneficial owner and verification of the identity of the beneficial owner. Such third party shall be regulated, supervised or monitored for, and have measures in place for compliance with CDD and record-keeping requirements in line with the obligations under the PML Act.

However, the Investment Manager shall be ultimately responsible for CDD (Customer Due Diligence) and undertaking enhanced due diligence measures, as applicable

- **Other**

Where the client has submitted any documents for the purpose of client due-diligence, it shall submit to the Investment Manager any update of such documents, for the purpose of updating the records mentioned, within 30 days of such updation.

Investment Manager shall review the due diligence measures including verifying again the identity of the client and obtaining information on the purpose and intended nature of the business relationship, as the case may be, when there are suspicions of money laundering or financing of the activities relating to terrorism or where there are doubts about the adequacy or veracity of previously obtained client identification data;

II. Risk Management

Investment Manager shall screen clients before onboarding and shall risk categorize its clients as per **Schedule – 1**. However, companies listed on the stock exchanges, are generally treated as low risk and may be white- listed. Similarly, clients with known credentials / acceptable background may be white-listed depending on the comfort / risk perception of the Company.

III. Enhanced Due Diligence (EDD)

Based on the levels of risk perceived for client's viz. High or Medium or Low, Investment Manager would focus greater attention on high risk clients.

In line with SEBI Master Circular on Anti Money Laundering (AML) and Combating Financing of Terrorism (CFT) - Obligations of Intermediaries under Prevention of Money Laundering Act, 2002, the Investment Manager shall on a best effort basis, identify High Risk Clients / PEPs CSC and may subject them to enhanced due diligence as more specifically set out in the Enhanced Due Diligence Policy, herein after set out at **Schedule-2**.

IV. On-going Monitoring Processes and Reporting

The Act and Guidelines prescribe that client should be subject to ongoing scrutiny throughout the course of a business relationship. Accordingly, it would be ensured that transactions are conducted in a manner consistent with the Investment Manager's knowledge of a customer, their business and risk profile and also their declared income / source of funds, wherever possible.

For Low Risk Clients: Updation of KYC to be done at once in five years.

For Medium Risk Clients: Updation of KYC to be done at once in three years.

For High Risk/PEP clients: As per EDD Policy.

SEBI places an obligation on intermediary to furnish information to FIU, Government of India, in respect of suspicious transactions within 7 days of arriving at a conclusion that any transaction is of suspicious nature.

The Act and Guidelines prescribe that client should be subject to ongoing scrutiny throughout the course of a business relationship. Accordingly, it would be ensured that transactions are conducted in a manner consistent with the Investment Manager's knowledge of a customer, their business and risk profile and

also their declared income / source of funds, wherever possible.

Indicative list of suspicious activities/ Transaction Acceptance Policy

- **Cash Transactions.** Investment Manager does not accept cash for any investment nor does it pay cash towards any redemption or refunds. Therefore, instances of suspicion on the grounds of cash transaction are not expected.
- **Pay orders / Demand Drafts incoming payments:** All investments through pay orders/ demand drafts will require a declaration from the client's bank that the pay order/demand draft issued is funded through the applicant's bank account.
- **Third Party incoming payments issued in India:**
As per the amended SEBI regulation, no third-party cheques are accepted for investments barring a few permissible exceptions (viz. minor clients through guardians, employers on behalf of employees, custodian on behalf of FPIs (Foreign Portfolio Investor). It is thus ensured that the funds for subscriptions are largely through a bank account where the first applicant is one of the account holders.
- **Joint Account Holders:**
In case of Joint account where the account holder name is mentioned in the cheque, the first applicant has to be one of the joint holders in the bank account. Where the account holder's name is not mentioned in the cheque, the client signature is matched with the application form. Any transaction which does not meet the said criteria is not processed.
- **Redemption / Distribution payouts:**
Redemption / Distribution payouts, if any, must be processed for direct credit into the bank account of the first unit holder electronically or pay vide cheque favoring the first unit holder's name with the bank account details.
- **Transactions that do not make economic sense**
 - Frequent change in Bank Mandate
 - Such other criteria that may be prescribed by various regulatory bodies from time to time
- **Attempts to avoid Reporting / Record Keeping requirements:**
 - Clients reluctant to provide information
 - Client induces Company not to file any report / forms
- **Unusual Activities**
 - Any unusual requests like not-sending of account statements
 - Frequent change of bank mandates / address.

The above parameters may be revised to bring them in line with SEBI and other regulatory bodies prescribed parameters from time to time.

- **Customer who provides insufficient information:**
 - Information/additional information requested but not forthcoming (within reasonable time of request) in relation to transactions with Company.
- **Certain Suspicious Fund Transfer Activities**
 - Inward Wire Transfer from Overseas – which is not supported by adequate declarations
 - Country of Inward Wire Transfers differing from country mentioned in bank mandates
 - Bank mandates mentioned in high risk and moderate risk countries
- **Illustrative list of Suspicious Transactions are as follows:**
 - Clients whose identity verification seems difficult or client appears not to cooperate
 - Customer is insisting on anonymity, reluctance to provide identifying information, or providing minimal information;
 - Asset Management services for clients where source of funds is not clear or not in keeping with client's apparent standing / business activity
 - Clients in high risk jurisdictions
 - Substantial increases in business without apparent cause
 - Requests for transfer of investment proceeds to apparently unrelated third parties
 - Unusual transactions by CSCs and business undertaken by shell corporations, offshore banks / financial services.
 - Clients transferring large sums of money to or from overseas locations with instructions for payment in cash
 - Frequent changes in client becoming PEP subsequently, sudden increase in number of transactions in client account etc.
 - External information that is material in nature viz. reliance on publicly available database, google alerts, law enforcement agency actions etc.

Above activities are illustrative in nature and other activities may be included in the list in consultation with the Principal Officer.

Any suspicious transaction shall be immediately notified to the Designated/Principal Officer. The notification may be done in the form of a detailed report with specific reference to the clients, transactions and the nature /reason of suspicion. However, it shall be ensured that there is continuity in dealing with the client as normal until told otherwise and the client shall not be told of the report/suspicion. In exceptional circumstances, consent may not be given to continue to operate the account, and transactions may be suspended, in one or more jurisdictions concerned in the transaction, or other action taken.

Internal Audit to be enhanced: Internal Audit conducted on a half yearly basis, would review transactions based on this Policy and report them in their audit report which will then be put up to Designated Directors/Directors of the Investment Manager/ Portfolio Manager/ Investment Advisor.

Principal Officer: Harshal Gosrani has been appointed as Principal Officer the purpose of Prevention of Money-laundering (Maintenance of Records) Rules, 2005 to ensure overall compliance with the obligation imposed under Chapter IV of the Prevention of Money- laundering Act, 2002 and the Rules there under.

The Principal Officer shall be responsible for the following:

- (a) To monitor compliance with the Policy;
- (b) Communicating the Policy on Prevention of Money Laundering to the employees of the Company;
- (c) Receiving reports for any suspicious dealings noticed by them;
- (d) Clarifying any queries from employees on AML matter;
- (e) Ensuring that the Company Representative (like employees, authorized person, distributor, sub-distributor, marketing agents etc.) dealing with the clients / prospective clients are aware of the KYC guidelines of the Company and are advised to follow the same strictly;
- (f) To record reason for arriving at a decision that the transaction is a suspicious transaction;
- (g) The Designated/Principal Officer and other appropriate compliance, risk management and related officials shall have timely access to client identification data and CDD information, transaction records and other relevant information from the system;
- (h) Principal Officer shall have access for any data and is vested with highest authority to audit the transaction and to get the data from relevant authorities in entity and all shall comply with the same; and
- (i) Submit Suspicious Transactions report, Cash transactions report, On Profit Organization Sector Transaction Report (NTR) report etc. to FIU-IND.

Designated Director

Aditya Kanoria has been appointed as the “Designated Director” for the purpose of Prevention of Money-laundering (Maintenance of Records) Rules, 2005 to ensure overall compliance with the obligation imposed under Chapter IV of the Prevention of Money- laundering Act, 2002 and the Rules there under.

Name, designation, email id and address of Principal Officer and Designated Director need to be intimated to the Office of the Director, FIU – IND.

V. Reporting Procedures

FIU-IND has developed a utility for submission of transaction report online. The required information is to be furnished by the entity directly to the FIU-IND online on <http://fiuindia.gov.in>, through the Principal Officer designated by the entity under the Prevention of Money Laundering Act, 2002. The submitted report to be furnished in the following manner by the Principal Officer of the entity:

(For Reporting Entity / Principal Officer registration related queries)

complaints@fiuindia.gov.in

Website: <http://fiuindia.gov.in>

A copy of the information furnished shall be retained by the Principal Officer for the purposes of official record.

Investment Manager shall carefully go through all the reporting requirements and formats that are available on the website of FIU – IND. These documents contain detailed directives on the compilation and manner/procedure of submission of the reports to FIU-IND

Presently, the following reports are required to be filed with FIU by Principal officer:

1. The Cash Transaction Report (CTR) (wherever applicable) for each month should be submitted to

FIU-IND by 15th of the succeeding month.

The investment amount for reporting purpose shall be as follows:

- a. All cash transactions of the value of more than **rupees ten lakhs or its equivalent** in foreign currency;
- b. All series of cash transactions integrally connected to each other which have been valued below rupees ten lakhs or its equivalent in foreign currency where such series of transactions have taken place within **a month** and **the monthly aggregate exceeds an amount of ten lakh rupees or its equivalent** in foreign currency.

It may, however, be clarified that for the purpose of suspicious transactions reporting, apart from 'transactions integrally connected', 'transactions remotely connected or related' shall also be considered.

2. Counterfeit Currency Report (CCR) - All cash transactions, where forged or counterfeit currency notes or bank notes have been used as genuine or where any forgery of a valuable security or a document has taken place facilitating the transactions shall be reported by 15th day of succeeding month.
3. All suspicious transactions whether or not made in cash and including, inter-alia, credits or debits into or from any non-monetary account such as demat account, security account maintained by the Investment Manager.
4. Suspicious Transaction Report (STR), based on the internal criteria of the Company, should be submitted within 7 days of arriving at a conclusion that any transaction, whether cash or non-cash, or a series of transactions integrally connected are of suspicious nature. It is likely that in some cases transactions are abandoned or aborted by clients on being asked to give some details or to provide documents. It is clarified that the Investment Manager shall report all such attempted transactions in STRs, even if not completed by clients, irrespective of the amount of the transaction. . The Principal Officer shall on being satisfied that the transaction is suspicious, furnish the information promptly in writing by fax or by electronic mail to the Director in respect of transactions referred to in clause (D) of sub-rule (1) of rule 3 of the PML Rules. The Principal Officer should record her/his reasons for treating any transaction or a series of transactions as suspicious. It should be ensured that there is no undue delay in arriving at such a conclusion. The Principal Officer will be responsible for timely submission of STR to FIU-IND. Utmost confidentiality should be maintained in filing of STR to FIU-IND. The reports may be transmitted by speed/registered post/fax at the notified address or any other /electronic mode as may be prescribed.

Intermediaries should not put any restrictions on operations in the accounts where an STR has been made. Further, it should be ensured that there is no tipping off to the client at any level.

Note: In relation to points 1 and 2 above the Investment Manager/ Portfolio Manager/

Investment Advisor is not accepting cash transactions, hence such reporting requirements are not undertaken at present.

Prohibition on Disclosure of Information

No representative of the Investment Manager shall disclose the fact that a Suspicious Transactions Report or related information of a client is being reported or provided to the FIU-IND. It shall be ensured that there is no tipping off to the client at any level.

VI. Record Maintenance

The Investment Manager shall maintain details/records within the Investment Manager/ Portfolio Manager/ Investment Advisor as well as with the RTA who maintains the database of all the client transactions. However, cash transactions shall not be accepted by Investment Manager and hence record maintenance shall not be required.

The Investment Manager shall retain the following information for the accounts of their clients in order to maintain a satisfactory audit trail for reconstructing a financial profile of the suspect account which may be required by regulators:

- a) the beneficial owner of the account;
- b) the volume of the funds flowing through the account; and
- c) for selected transactions:
 - i. the origin of the funds
 - ii. the form in which the funds were offered or withdrawn, e.g., cheques, demand drafts etc.
 - iii. the identity of the person undertaking the transaction;
 - iv. the destination of the funds;
 - v. the form of instruction and authority.

The records shall be maintained which shall allow easy and quick retrieval of data as and when requested by the competent authorities.

Period of retention of records:

The Investment Manager shall maintain details/records with as under:

- i. Records of all transactions to be maintained whether executed or rejected, for a period of five years from the date of transactions, in such a manner as to enable it to retrieve individual transactions.
- ii. Records of documents evidencing identity of clients and beneficial owners as well as account files and business correspondence relating to its clients are required to be maintained for a period of five years after the business relationship between the client and the entity has ended or the account has been closed, whichever is later.

In situations where the records relate to on-going investigations or transactions which have been the subject of a suspicious transaction reporting, they shall be retained until it is confirmed that the case has been closed.

VII. Procedure for freezing of funds, financial assets or economic resources or related services

- a) Investment Manager shall ensure that in terms of Section 51A of the Unlawful Activities (Prevention) Act, 1967 (UAPA) and amendments thereto, they do not have any accounts in the name of individuals/entities appearing in the lists of individuals and entities, suspected of having terrorist links, which are approved by and periodically circulated by the United Nations Security Council (UNSC). In order to ensure expeditious and effective implementation of the provisions of Section 51A of UAPA, Government of India has outlined a procedure through an order dated February 02, 2021 for strict compliance.
- b) The Central Government is empowered to freeze, seize or attach funds of and/or prevent entry into or transit through India any individual or entities that are suspected to be engaged in terrorism.
- c) Reporting entities shall follow the procedure prescribed by respective regulators for freezing of accounts of designated individuals/entities in case any customer records are matched with that of designated individuals/ entities.
- d) Reporting entities shall comply with the procedure prescribed by respective regulators for unfreezing of accounts of 'designated individuals/entities' in case of individuals/entities inadvertently affected by the freezing mechanism, upon verification that the individual/entity is not a designated individual/entity.
- e) Reporting entities shall comply with the procedure prescribed by respective regulator for implementation of requests received for freezing of insurance policies of 'designated individuals/entities' without prior notice to the designated persons involved.

Procedure for implementation of Section 12A of the Weapons of Mass Destruction and their Delivery Systems (Prohibition of Unlawful Activities) Act, 2005 – Directions Investment Manager

1. The Government of India, Ministry of Finance has issued an order dated January 30, 2023 vide F. No. P-12011/14/2022-ES Cell-DOR ("the Order") detailing the procedure for implementation of Section 12A of the Weapons of Mass Destruction and their Delivery Systems (Prohibition of Unlawful Activities) Act, 2005 ("WMD Act"). The Order may be accessed by clicking on DoR_Section_12A_WMD.pdf.
2. In terms of Section 12A of the WMD Act, the Central Government is empowered as under:
For prevention of financing by any person of any activity which is prohibited under the WMD Act, or under the United Nations (Security Council) Act, 1947 or any other relevant Act for the time being in force, or by an order issued under any such Act, in relation to weapons of mass destruction and their delivery systems, the Central Government shall have power to freeze, seize or attach funds or other financial assets or economic resources—
 - (i) owned or controlled, wholly or jointly, directly or indirectly, by such person; or
 - (ii) held by or on behalf of, or at the direction of, such person; or derived or
 - (iii) generated from the funds or other assets owned or controlled, directly or indirectly, by such person;

List of Designated Individuals/ Entities

The Ministry of Home Affairs, in pursuance of Section 35(1) of UAPA 1967, declares the list of individuals/entities, from time to time, who are designated as 'Terrorists'. The Investment Manager

shall take note of such lists of designated individuals/terrorists, as and when communicated by SEBI.

An updated list of individuals and entities which are subject to various sanction measures such as freezing of assets/accounts, denial of financial services etc., as approved by the Security Council Committee established pursuant to various United Nations' Security Council Resolutions (UNSCRs) can be accessed at its website at <https://press.un.org/en/content/press-release>.

The Investment Manager shall maintain updated designated lists in electronic form and run a check on the given parameters on a regular basis to verify whether the designated individuals/entities are holding any funds, financial assets or economic resources or related services held in the form of securities with them.

Investment Manager shall also send a copy of the communication mentioned above to the UAPA Nodal Officer of the State/UT where the account is held and to SEBI and FIU-IND, without delay. The communication shall be sent to SEBI through post and through email (sebi_uapa@sebi.gov.in) to the UAPA nodal officer of SEBI, Deputy General Manager, Division of FATF, Market Intermediaries Regulation and Supervision Department, Securities and Exchange Board of India, SEBI Bhavan II, Plot No. C7, "G" Block, Bandra Kurla Complex, Bandra (E), Mumbai 400 051. The consolidated list of UAPA Nodal Officers is available at the website of Government of India, Ministry of Home Affairs.

VIII. Staff Hiring Policies and Training Programs

Investment Manager shall ensure that staff hired for the purposes of dealing with clients is suitable and competent for the job. Appropriate background verification in the form of reference checks and other character checks should be conducted before a person is confirmed for the job. The steps taken to ascertain the background of the employee(s) must be documented.

Also, adequate training is imparted to all the concerned officers handling sales activities of the business of the Investment Manager and back office staff, compliance staff, risk management staff and staff dealing with new clients so as to ensure that the contents of this Policy and PMLA guidelines are understood and to develop awareness and vigilance to guard against money laundering and terrorist financing.

Awareness should be created in terms of AML standards and its measures with the help of periodic training/media which will be towards ensuring that the businesses of Investment Manager are not used intentionally or unintentionally for the purpose of money laundering.

IX. Investors Education

Implementation of AML/CFT measures requires intermediaries to demand certain information from investors which may be of personal nature or has hitherto never been called for. Such information can include documents evidencing source of funds/income tax returns/bank records etc. This can sometimes lead to raising of questions by the client with regard to the motive and purpose of collecting such information. The Investment Manager needs to sensitize their clients about these requirements as the ones emanating from AML and CFT framework. The Investment Manager shall prepare specific literature/pamphlets etc. so as to educate the client of the objectives of the AML/CFT program.

7. Responsibility

The Designated Director shall be responsible for implementation and overall compliance of the Policy. Principal Officer will regularly monitor compliance of the Policy.

8. Violation

If anyone is found in violation of this Policy, he/she will be liable for appropriate action by appropriate authority.

9. Policy Review

This Policy shall be reviewed as and when there are any regulatory changes introduced or as and when it is found necessary to change the Policy due to business needs. However, Policy shall be reviewed at least annually. The Board of Directors or equivalent authority of Investment Manager will be approving authority for the Policy.

10. Deviation to Framework

Deviations to the Policy on account of regulatory changes shall be approved by the Board of Directors or equivalent authority Investment Manager; all other deviations shall be approved by either Board of Directors of Investment Manager or Managing Director / equivalent authority and Compliance officer of Investment Manager.

11. Power to Remove Difficulties

In order to remove any difficulties in the application or interpretation of this Policy, the Principal officer of Investment Manager shall have the power to issue clarifications.

12. Effective Date

This Policy shall supersede existing policy on subject matter and will be effective from the launch of the Fund.

Date: 06/11/2023

Schedule – 1
Risk Categorization

Category	Criteria
Cases likely to be covered under high risk	Clients of Special Category
	Clients debarred from dealing in a particular security
	Clients who were debarred from dealing in securities market in past and the period of debarment has been completed
	Orders levying penalty and disgorgement by financial regulator
	Convicted by any court for heinous crimes (e.g., Rape / murder charges, Forgery, cheating, Assault, causing hurt, Rioting)
	Entity mentioned in MCA (Ministry of Corporate Affairs) Strike-Off list
	Entities covered under FIU confirmed list
	Entities covered under watch list against which action to be taken is mentioned as 'Strict No'
	For Investment Manager/ Portfolio Manager/ Investment Advisor clients: - Companies having close family shareholdings or beneficial ownership - Arms Dealer - Jewelry / Precious metals / Bullion dealers (including sub-dealers) - Real Estate Agents, Construction, Offshore Corporation, - Art/antique dealers - Bar/casino/night club - Import/Export (traders; goods not used for own manufacturing/retailing) - Transport Operators Auto dealers (used/ reconditioned vehicles/motorcycles) - Scrap metal dealers - Liquor distributorship - Commodities middlemen - Car/Boat/Plane dealerships/brokers
	Following clients; Investment in Alternative Investment Fund (AIF) – Rs. 10 crores or more
Cases likely to be covered under medium risk	Non-Profit Organizations
	Director of any Company struck-off (disqualified) in MCA's records
	Entities covered under FIU shell company derived list
	Entities covered under FIU shell company suspected list
	Persons in exchange shell company list
	Clients who are Tax Defaulters
	Persons covered under MCA Disqualified Directors list
	Following clients; Investment in Alternative Investment Fund (AIF) – Rs. 5 - 10 crores or more
Low Risk	All others not covered above

Schedule - 2

Enhanced Due Diligence Policy

Introduction:

The cornerstone of a strong Anti-Money Laundering program is the adoption and implementation of comprehensive customer due diligence policies, procedures, and processes for all customers, particularly those that present a higher risk for money laundering and terrorist financing. As a result, due diligence procedures and processes should be enhanced for such high-risk customers. Enhanced Due Diligence (EDD) for High Risk Customers including Politically Exposed Persons (PEPs) and Clients of Special Category (CSC) is especially critical in understanding their transactions and implementing a monitoring system that reduces the Group's regulatory and reputational risks. High risk customers and their transactions should be reviewed more closely at account opening and more frequently throughout the term of their relationship. Regulators like SEBI, IRDAI, RBI, etc. have also continuously emphasized on the need to carry out enhanced due diligence for such high-risk customers.

High Risk Customers would typically be persons/entities that by nature of their business/occupation, place of incorporation/residence or any other characteristic are more vulnerable to money laundering. A list for classifying a customer as high risk is provided in **Schedule – 1**.

Clients of Special Category include the following:

1. Non-Resident Indians with:
 - Net worth in Alternative Investment Fund (AIF) – Rs. 15 crores or more
2. High Net-worth Individuals with
 - Net worth in Alternative Investment Fund (AIF) – Rs. 25 crores or more
3. Trusts, Charities, NGOs and organizations receiving donations above Rs. 10 crore annually.

Businesses shall exercise independent judgment to ascertain whether any other set of clients shall be classified as High-Risk customer/CSC or not.

Apart from conducting the basic KYC as per the requirement of the respective business, Company shall perform EDD for customers who are classified as High-Risk Customer/CSC.

Enhanced Due Diligence (EDD):

EDD shall comprise the following:

1. EDD needs to be undertaken before commencement of business relationship.
 - Laying down reasonable measures to understand whether client's source of income and net worth is commensurate with the investment amount. In this regard, the Relationship Manager (RM)/Investor Servicing team will endeavor to procure any one of the documents as mentioned in **Annexure A**. This is an illustrative list and entities may obtain any additional documents for verifying source of income and net worth in consultation with Compliance team.
 - Basis the above document, Relationship Manager (RM)/Investor Servicing team to provide report on customer profile more specifically set out in **Annexure B**, containing customer details like occupation, net worth, income details, beneficial ownership details (in case of non-individual accounts), etc. to compliance for review and approval. Post conducting above due diligence and completion of EDD requirement, approval of Designated Director shall be taken before on-

boarding of high-risk customer. This is an illustrative list and entities may obtain any additional documents for verifying source of income and net worth in consultation with Compliance team.

For PEP cases, approval of Managing Director/ Equivalent Authority shall additionally be taken.

Post obtaining approval for High Risk customer, customer can be retained, subject to any other business specific requirement.

However, in case approval to retain the High Risk customer is not provided on account of some deficiencies or suspicion, business shall have absolute discretion to report suspicious transactions to FIU-IND.

2. EDD to be performed during business relationship by taking below steps:

- More frequent review of the customer's profile/transactions, which shall be more stringent for High risk customer. This will be generally done when client increase its commitment during its relationship with Investment Manager.
- Updation of KYC may be done at higher frequency for High risk customer accounts as specified by the regulator.
- EDD measures, proportionate to the risks, to business relationships and transactions with natural and legal persons (including financial institutions) from countries for which this is called for by the FATF.

Above EDD process is not intended to be exhaustive, businesses may adopt a more stringent EDD process as per their requirements and regulatory guidelines.

Change in Customer categorization:

- Where there is change in customer categorization to high risk basis review of customer's transaction and profile, EDD process as mentioned above shall be carried out.
- Further approval of senior official as per the hierarchy mentioned above shall be taken to continue relationship with such customer.
- In case of PEP, approval of Managing Director/Equivalent Authority shall additionally be obtained to continue business relationship with such PEP.

Annexure A

Illustrative list of Income Proofs

Income proofs for Individuals:

1. Latest copy of Income tax assessment orders/ Income Tax returns slips
2. Form 16 in case of employed individual
3. Latest Salary slip from employer
4. Bank statement showing income credit like salary Income, rent income, etc.
5. Chartered Accountant certificate on client's Income/Net Worth

Income Proofs for Non-Individuals:

1. Latest copy of Income tax assessment orders/ Income Tax returns slips
2. Latest copy of Audited Statements
3. Annual Report
4. Chartered Accountant's certificate on client's Income/Net Worth

Annexure B

Basic Client Information	
Customer First Name	
Customer Last Name	
Type of High Risk Customer/ CSC (e.g., HNI, NRI, PEP, etc.)	
Why classified as High Risk Customer/CSC/PEP	
Date of Birth	
Place of Birth	
Address:	
National ID/PAN No.	
Other ID	
Passport No.	
Action initiated by any enforcement agency	
Are there any sanctions Imposed	
Criminal History (if any)	
Any adverse news	
Any Additional Information	
Enhance Due Diligence Details	
Profile of the Client	
Why classified as High Risk/ PEP/ CSC	
Merits of doing the case	
Duration of being associated with any political party/organisation and whether still a member of the party/organisation or not	
Any Deviation on KYC documents if yes then what deviation and what is mitigant	
Any negative news available on Google / search Engine or in public domain or newspaper or internet	
Customer's Income (as per Income proofs submitted)	
Is the financial detail commensurate with the investment horizon of the client.	
Have you verified Documents like ITR, bank statement, demat statement and any other document to support the financial status of the client	
Any waiver or exceptions given in terms of product offering, if yes then what are the mitigants	
Relationship manager report submitted (Yes/No)	

Criteria for Suspicious Transaction Report Sr. No.	STR Criteria for Investment Manager/ Portfolio Manager/ Investment Advisor
A	Non – monetary Criteria's / Trigger Points
1	Unable to identify beneficiary (UBO) @ Pre – Onboarding stage
2	Change of address or change in bank mandate during a rolling 12 months period, where: a. Changes to bank mandate are executed by individual clients (including HUF) involving more than three different bank accounts (account numbers are different) OR b. Changes to bank mandate are executed by non-individual clients involving more than five different bank accounts (account numbers are different). OR c. Changes to address are executed by any client (individual and non-individual) involving more than three different addresses.
3	The customer details matched with watch lists (e.g., SEBI debarred, UN list, Interpol list etc.)

4	Notice / Letter from a law enforcement agencies / Regulators/ Other Government Agencies: In case of such notices received, Principal Officer should be informed for further action /advise on the matter. Customer has been the subject of inquiry from any law enforcement agency relating to criminal offences or any law enforcement agency relating to Terrorism Financing or terrorist activities. This notice shall be treated as an alert to analyse the transactions in such accounts and if the transactions appear to be suspicious the same should be included in the STR along with the details mentioned in the “Ground of Suspicion”. These Accounts are to be reported even if they are closed.
5	Adverse Media / Public News: Head office/Branches should check for adverse media coverage with the names of the customer. The names of customers that are pointed as suspects or accused in such reports shall be searched and in case of matches the same may be further internally analyzed for reporting purposes. Match of customer details with persons reported in local media / open source of criminal offences or for terrorism or terrorist financing related activities
6	Multiple Joint holders: Where one client (identified by PAN) is investing as a joint holder (2nd or 3rd) with 5 or more different first unit holders (also identified by PAN) at any point in time
7	Customer is from high risk category due to place of birth, resident country, place of business etc.
B	Monetary Criteria's / Trigger Points

1	Use of different Bank Accounts by client alternatively Individuals: Clients investing via more than one Bank Accounts or registers more than two bank account within 12 months Non-Individuals: Non-Individual clients investing in any scheme via more than ten bank accounts within 12 months.
2	Overpayment of contribution with a request to refund the amount overpaid
3	Mismatch between the proof of income submitted and the amount committed by the client / entity. • Cumulative investment of more than 10 times of annual income or Rs. 2 crore whichever is more • Cumulative investment of more than two times of the net worth